Generation) or multigenerational families, which could create some serious emotional as well as financial complications.

The Covid-19 pandemic and shifting demographics have intensified the pressures on the Sandwich Generation, with many of them finding it tough to manage their own finances and in some cases facing the additional challenge to accommodate their children who may have moved in with them. Rising inflation, insecurity at the workplace and thoughts of outliving savings and investments (money running out in their lifetime) are constant worries for this generation. "We are lucky that four of us in the house are employed and my father-in-law still receives a pension, but it still leaves us at times with little towards savings," says Rama.

FOR THE SANDWICH GENERATION, THE GENERAL RULE OF THUMB IS TO ASSESS ITS OWN NEEDS AND MEET THEM FIRST BEFORE TAKING CARE OF THEIR LOVED ONES

Expenses in multi-generational households, especially with elderly people, often include a tidy sum towards healthcare and education. There is also the possibility of the Sandwich Generation servicing loans. "Since my brother moved to Dubai, my parents have moved in with me and I suddenly feel the financial pinch," says 37-year-old Pune resident Satish Patil. Unlike the Seshadris and Aroras, Patil is the sole earner in his household, which comprises his wife Arti, and their children—eight-year-old twins Advait and Advaita. He had a tough two years during Covid financially and health-wise, when both he and his wife were affected.

Employed at a car dealership, he first saw the salary dry up during the lockdown phase of 2020. "I am in sales and a significant part of my income is linked to incentives, which literally dried up with insignificant sales for months," he recounts. He had taken a home loan for a one-bedroom flat with difficulty and had used most of his savings to make the down payment. "My parents were with my older brother, who works for a construction company. But even he had financial problems, which made it difficult for him to manage both our parents," he confesses.

With schools going online, the need for devices went up in his house. "I borrowed money from a relative to buy a laptop and a tablet for my twins to continue schooling and my wife started to take up cooking for households in the neighbourhood," he reveals.

Typical Sandwich Generation homes often find it difficult to manage and prioritise finances. One doesn't know if a child's education or one's own upkeep or sup-

WHOSE NEEDS COME FIRST?

Your parents need your financial support and so do your children. However, you also need to consider a plan for your own retirement and debt reduction. Finances are often stretched for the Sandwich Generation and it is necessary to prioritise them. The Sandwich Generation may wish to not be a financial burden on their children, but for that to happen, they need to plan for their retirement before getting into addressing other pressing financial needs.

For the Sandwich Generation, you need to evaluate your own financial needs before you can assist other family members. Make contributions, savings and investments towards your retirement, however small it may be. For someone in their mid-40s, retirement may still seem a good 15-20 years ahead, but that is also the time needed for contributions to benefit from compounding. The financial needs of your parents come in next. Review all the assets that you have for your parents' support.

If your parents own a house, yet they have moved in with you, consider selling it to have the necessary financial cushion for their needs. Given the emotional attachment that we have to our homes, this move may not be welcome by parents, but it is an asset which is likely to come in handy the most. These days, instruments like reverse mortgage exist, wherein a financial institution that offers it would pay your parents, the owners of the house, a fixed payout even if they are living in that house for a fixed number of years.

In case your parents outlive this tenure, the institution will take possession of the house and your parents will need to vacate it. The other possibility is that their life comes to an end before the tenure for which the institution pays regular monthly payouts. Reverse mortgage is tricky. It could be used as a last recourse and is yet to find many takers. Instead of going in for it, it makes sense to sell the house and take cash for its value. If you have siblings, split caregiving with them to reduce the financial burden on yourself.

Lastly comes the financial needs of your children. While one may not wish to fund their child's education by getting into debt, it is possible that you may not need to either. At the same time, it is better to borrow to fund your child's education because it is available, but there is no such loan available to fund your retirement. Education loan is a good loan, it is an asset-building loan and it allows the borrower to repay after a moratorium period. Importantly, there is no emotional dilemma on how to fund your children's education.

You need the emotional and physical energy to continue to care for your loved ones without being crushed, which again makes it pertinent to focus on your financial needs before embarking on helping your parents and children's needs.